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CIRCLE OF SUPPORT

S A C C O

CONSTITUTION AND BY-LAWS

Document Reference: CoS-SACCO-CONST-2025-01

First Edition | Effective Date: 31 August 2025

Status: APPROVED

*"United we stand, stronger together —
building a brighter tomorrow through trust and support."
— Circle of Support Sacco*

Foreword

This Constitution establishes the foundational framework for the Circle of Support Savings and Credit Co-operative (the "Sacco"). It defines the rights, obligations, governance structures, and operational procedures that govern all members.

The Sacco is founded on the principles of mutual trust, financial discipline, and collective prosperity. Every member is both a contributor to and a beneficiary of the Sacco's resources.

This document shall be read alongside any supplementary policies or resolutions passed by the membership. In the event of any conflict, this Constitution shall prevail.

Note: *This Constitution takes effect on 31 August 2025 and shall remain in force until formally amended or the Sacco is dissolved in accordance with Clause 14.*

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1 Name and Identity

1.1 The official name of this organisation is Circle of Support Savings and Credit Co-operative, hereinafter referred to as the "Sacco" or "CoS-Sacco".

1.2 The Sacco operates under the document reference CoS-SACCO-CONST-2025-01.

1.3 The registered payment channel for the Sacco is as follows:

Platform	M-Pesa (Send Money)
Registered Number	0741 649 321
Account Name	Nashon Otenyo
Purpose	Member Contributions & Loan Repayments
Note: Transaction fees incurred by members when sending contributions shall be accounted for during the final dividend payout at the end of each semester.	

2 Interpretation and Definitions

2.1 In this Constitution, unless the context otherwise requires, the following terms have the meanings assigned to them:

Term	Definition
Sacco	The Circle of Support Savings and Credit Co-operative.
Member	An individual admitted to the Sacco in accordance with Clause 4, whose membership is current and in good standing.
Non-Member	Any individual who has not been admitted to membership, or whose membership has been suspended or terminated.
Guarantor	A Member who assumes financial responsibility for a loan extended to a Non-Member borrower.
Contribution	The mandatory weekly payment of Ksh 150 made by each Member to the Sacco's pooled fund.
Semester	The operational cycle of the Sacco, commencing 31 August 2025 and concluding 20 December 2025, or as otherwise determined by a majority vote.
Committee	The governing body comprising the Group Leader, Treasurer, and Secretary.
Fund	The aggregate pool of contributions, loan repayments, interest income, and penalty fees held by the Sacco at any given time.
Dividend	Each Member's proportional share of the Fund distributed at the end of a Semester after settling outstanding obligations.
Default	Failure by a borrower to repay a loan by its due date.
Majority Vote	A vote in which more than half of all active Members present vote in favour of a resolution.
Written Notice	Formal communication submitted via a verifiable electronic or physical medium (WhatsApp, email, or letter) to the Secretary.

2.2 The singular includes the plural and vice versa. Headings are for convenience only and do not affect interpretation.

3 Purpose and Objectives

3.1 The Sacco is established to:

- Pool financial resources among Members through structured, regular contributions;
- Provide affordable credit facilities to Members and, in limited circumstances, to Non-Members;
- Generate returns for Members through responsible lending, interest income, and disciplined fund management;
- Promote financial discipline, mutual accountability, and collective economic empowerment;
- Distribute accumulated funds equitably to Members at the close of each Semester.

3.2 The Sacco shall not be operated for the private gain of any individual Member beyond what this Constitution provides.

4 Membership

4.1 Eligibility

Any person who agrees to abide by this Constitution in its entirety, maintains current and accurate contact information, and is admitted by the Committee, shall be eligible for membership.

4.2 Admission

Admission of new Members after the commencement of a Semester is subject to majority vote. A new Member admitted mid-Semester shall contribute all arrears from the Semester start date before receiving any benefits, unless the Committee resolves otherwise.

4.3 Member Registry

A Member Registry shall be maintained by the Secretary as a separate, living document. The Registry shall record each Member's full name, contact details, date of admission, and current standing. The Registry is not part of this Constitution and may be updated without requiring a constitutional amendment.

4.4 Member Obligations

Every Member shall:

- Make weekly contributions on time and in full as required under Clause 5;
- Attend all scheduled meetings or give advance notice of absence;
- Provide accurate and updated personal contact information to the Secretary;
- Act in good faith and in the best interests of the Sacco at all times;
- Repay any outstanding loans in accordance with the terms agreed under Clause 6.

4.5 Member Rights

Every Member in good standing shall have the right to:

- Access credit facilities subject to the availability of funds and the conditions in Clause 6;
- Receive an equitable share of the Dividend at the end of each Semester;
- Participate in and vote at meetings;
- Inspect financial records maintained by the Secretary, upon reasonable request.

Note: Membership status and the Member Registry shall be maintained separately from this Constitution. Founding members are listed in the inaugural Registry held by the Secretary.

5 Financial Contributions

5.1 Contribution Amount

Each Member shall contribute Ksh 150 (Kenya Shillings One Hundred and Fifty) per week to the Sacco's Fund.

5.2 Payment Schedule

Contributions are due by 11:59 PM every Sunday of the operational week. The Treasurer shall maintain a weekly contribution register.

5.3 Payment Method

All contributions shall be sent via M-Pesa to the registered Sacco account (see Clause 1.3). Members shall retain proof of payment (M-Pesa confirmation SMS or screenshot) until the Treasurer confirms receipt.

5.4 Transaction Fees

Any M-Pesa transaction fees incurred by a Member in remitting their contribution shall be tracked and proportionally reimbursed to Members during the final Dividend distribution at the end of the Semester.

5.5 Late Contributions

A contribution received after the Sunday deadline shall be deemed late. A late penalty of Ksh 50 shall be levied automatically and credited to the Fund. The penalty does not discharge the outstanding contribution; both amounts must be paid.

5.6 Persistent Non-Payment

A Member who fails to contribute for three (3) or more consecutive weeks, without written notice of hardship accepted by the Committee, may be suspended by majority vote, pending review. A suspended Member may not borrow from the Fund and shall not be entitled to a Dividend until arrears (including applicable penalties) are settled in full.

Note: Contributions may only be changed by a majority vote at a scheduled meeting. Any change takes effect from the following Semester.

6 Borrowing and Lending

6.1 Eligibility to Borrow

A Member in good standing (no outstanding loan, no pending penalties, contributions current) may apply to borrow from the Fund. Borrowing is subject to fund availability and Committee approval.

6.2 Interest Rates

Borrower Type	Interest Rate	Interest Method
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Member	15%	Deducted upfront
Non-Member	18%	Deducted upfront

Note: Example — Member borrows Ksh 1,000: Interest = Ksh 150 (15%). Amount disbursed = Ksh 850. Amount to repay = Ksh 1,000.

6.3 Non-Member Borrowing

A Non-Member may borrow from the Fund only if:

- A Member formally endorses the application in writing, accepting the role of Guarantor;
- The Guarantor accepts full liability for the loan in the event of Default by the Non-Member;
- The Committee approves the application.

6.4 Repayment Period

All loans, whether to Members or Non-Members, shall be repaid within a maximum of twenty (20) calendar days from the date of disbursement.

6.5 Default and Late Repayment

In the event of failure to repay by the due date:

- An additional penalty interest of ten percent (10%) of the outstanding principal shall be charged for every three (3) days of delay;
- For Member borrowers: the outstanding loan balance (including penalties) shall be deducted from the Member's Dividend at end of Semester;
- For Non-Member borrowers: the Guarantor shall be held liable and the outstanding amount deducted from the Guarantor's Dividend;
- Persistent or deliberate default may result in expulsion from the Sacco and/or legal action.

6.6 Fraud and Dishonesty

Any Member found to have engaged in dishonesty, fraudulent activity, or deliberate misrepresentation in connection with borrowing shall be immediately expelled from the Sacco and may face legal recourse. All outstanding amounts owed by an expelled Member become immediately due and payable.

7 Semester Cycle and Distribution

7.1 Semester Period

The inaugural Semester runs from 31 August 2025 to 20 December 2025. Subsequent Semester dates shall be agreed upon by majority vote before the commencement of each new cycle.

7.2 Dividend Distribution

At the close of each Semester, the Treasurer shall prepare a financial statement reflecting:

- Total contributions received;
- Total interest and penalty income;
- Total outstanding loans and penalties;
- Net distributable Fund.

- 7.3 The net distributable Fund shall be allocated as follows:
- Outstanding loans and penalties are deducted from the relevant Member's or Guarantor's share;
 - Transaction fee reimbursements are applied as per Clause 5.4;
 - The remaining balance is distributed equitably among all Members in good standing.

Note: 'Equitably' means in proportion to each Member's total contributions in the Semester, unless the Committee resolves a different basis by majority vote.

7.4 Statement of Accounts

The Treasurer shall issue each Member a written statement of their individual account (contributions, loans, interest, penalties, and final Dividend) within seven (7) days of Semester close.

8 Governance and Leadership

8.1 The Committee

The Sacco shall be governed by a Committee comprising three (3) officers:

Office	Name	Responsibilities
Group Leader	Agallo George 0757 287 021	Overall oversight; approves loans; ensures fair operations; convenes meetings.
Treasurer	Nashon Otenyo 0745 987 455	Manages the Fund; maintains contribution and loan records; provides financial updates; oversees disbursements.
Secretary	Brian Omanwa 0784 572 210	Maintains Member Registry, meeting minutes, and all Sacco records; sends meeting links; communicates decisions.

8.2 Term of Office

Committee officers may be re-elected by majority vote at the commencement of a new cycle.

8.3 Decision-Making

Major decisions — including but not limited to changes to contribution amounts, interest rates, borrowing terms, penalty structures, or this Constitution — shall be made by a majority vote of all active Members at a scheduled meeting.

The Committee may make operational decisions (such as approving individual loans within existing terms) without convening a full meeting, provided such decisions are recorded and reported at the next scheduled meeting.

8.4 Accountability

The Treasurer shall provide a financial update to all Members at least once every two (2) weeks via the agreed group communication channel. The update shall include the current Fund balance, outstanding loans, and any pending penalties.

8.5 Vacancy

In the event that a Committee officer is unable to continue (by resignation, expulsion, or incapacity), a replacement shall be elected by majority vote at the next scheduled meeting or at a special meeting called within seven (7) days.

9 Meetings

9.1 Format

Meetings shall be conducted virtually via Google Meet or an equivalent video-conferencing platform agreed by the Members.

9.2 Notice

The Secretary shall distribute a meeting link and agenda to all Members at least twenty-four (24) hours before a scheduled meeting.

9.3 Attendance

Attendance is mandatory. A Member who is unable to attend shall inform the Secretary in advance with a valid reason. Absence without prior notice or a valid reason shall attract a penalty of Ksh 50, credited to the Fund.

9.4 Quorum

A quorum for any meeting shall be a simple majority (more than half) of all active Members. No binding resolutions may be passed without a quorum.

9.5 Minutes

The Secretary shall prepare and distribute minutes of every meeting within forty-eight (48) hours of its conclusion. Minutes shall be confirmed at the following meeting.

9.6 Special Meetings

A special meeting may be convened by the Group Leader, or upon written request of at least one-third (1/3) of active Members, with at least forty-eight (48) hours' notice.

10 Penalties and Enforcement

10.1 Schedule of Penalties

Infraction	Penalty	Applied To
Late contribution (after Sunday 11:59 PM)	Ksh 50 per week	Fund

Absence from meeting (without prior notice)	Ksh 50 per occurrence	Fund
Late loan repayment	10% of outstanding balance per 3 days	Fund
Early exit (within Semester)	50% of Member's Fund balance forfeited	Fund
Deliberate default or fraud	Immediate expulsion + legal recourse	Sacco / Courts

10.2 Collection

All penalties are added to the Fund and form part of the distributable balance at the end of the Semester. The Treasurer shall record every penalty applied and the reason for it.

10.3 Expulsion

Expulsion of a Member requires a majority vote at a scheduled or special meeting. The expelled Member shall be notified in writing within twenty-four (24) hours. All amounts owed to the Sacco by an expelled Member become immediately due and payable.

11 Exit and Withdrawal

11.1 Voluntary Exit

A Member wishing to exit the Sacco before the Semester ends must submit Written Notice to the Secretary at least seven (7) calendar days in advance.

11.2 Early Exit Penalty

A Member who exits before the Semester ends shall receive fifty percent (50%) of their accumulated Fund balance. The remaining fifty percent (50%) is forfeited to the Fund as an early exit penalty.

11.3 Outstanding Loans on Exit

A Member may not exit while holding an outstanding loan. All loan balances, including any accrued penalties, must be settled in full before the exit is processed.

11.4 Natural Semester Exit

A Member who completes the full Semester is entitled to their full Dividend as calculated under Clause 7, with no exit penalty.

12 Amendments

12.1 Proposal

Any Member may propose an amendment to this Constitution by submitting the proposed change in writing to the Secretary at least forty-eight (48) hours before a scheduled meeting.

12.2 Approval

An amendment shall be adopted upon a majority vote of all active Members at a scheduled meeting with a quorum present.

12.3 Commencement

An approved amendment takes effect upon written communication to all Members, which shall be issued by the Secretary within thirty-six (36) hours of the vote.

12.4 Records

All amendments shall be recorded in a constitutional amendment log maintained by the Secretary, including the date, the amendment text, and the vote tally.

13 Dispute Resolution

13.1 Any dispute between Members, or between a Member and the Committee, arising out of or in connection with this Constitution shall first be referred to the Group Leader for informal resolution within seven (7) calendar days.

13.2 If the dispute is not resolved informally, it shall be tabled at the next scheduled meeting, where a binding resolution shall be adopted by majority vote.

13.3 The Committee shall not vote on disputes in which they have a personal interest. In such cases, Members shall elect a neutral panel of three (3) non-interested Members to adjudicate.

13.4 Legal action shall be a last resort and may only be initiated following a majority vote of active Members.

14 Dissolution

14.1 The Sacco may only be dissolved by a unanimous vote of all active Members at a specially convened meeting, with at least seven (7) calendar days' notice.

14.2 Upon dissolution:

- All outstanding loans shall be immediately recalled;
- All penalties shall be enforced and collected;
- The remaining Fund balance, after settling all obligations, shall be distributed equitably among active Members in accordance with each Member's contribution ratio for the current Semester.

14.3 The Treasurer shall prepare a final financial statement within fourteen (14) days of the dissolution vote. Distribution shall be completed within twenty-one (21) days.

Adoption and Signatures

This Constitution was adopted by the founding Members of the Circle of Support Sacco on the date indicated below.

Office	Name	Signature & Date
Group Leader	Agallo George	

Treasurer	Nashon Otenyo	
Secretary	Brian Omanwa	

Effective Date: _____

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